

Credit Management — PREVIEW

Course: CCP — Certified Credit Professionals | **Level:** Level I

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

Contents (full paper)

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1. Nature and importance of credit

Credit is an arrangement where a seller allows a buyer to take goods, services, or funds now and pay for them later, on agreed terms. Credit matters to a business because it:

- Widens the pool of customers who can afford to buy, growing sales volume.
- Builds customer loyalty and repeat business through an ongoing trading relationship.
- Is a normal feature of business-to-business trade, where most transactions are not paid in cash on the spot.

The flip side: credit ties up cash in debtors, and carries the risk that some customers will pay late or not at all. Credit management exists to balance these two forces — enough credit to win and keep customers, without so much risk that the business runs out of cash or absorbs unacceptable bad debts.

Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB CCP paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

CCP LEVEL I — CREDIT MANAGEMENT (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Explain the "5 Cs" framework used in assessing a credit application. (10 marks)
- (b) Outline the stages of the credit cycle, from application to review. (10 marks)

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes credit policy design, assessing a credit application, monitoring and controlling debtors, bad debts and provisions, the debt collection process, legal remedies for recovery, the role of a credit manager, a fully worked debtor-days/provision question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.